



44 |

FOR THOSE WITH specks of grey, or more, in their hair, you would remember the time when getting a demand draft made in a public sector bank was a full day's job. That, too, if one was friends with the branch manager or, perhaps, a friendly teller. And stock market old-timers would recall the time when one had to shell out more than 1 per cent of the trade value as broking charges to the brokerage firm that would execute their trades. And screams on the floors of the markets to execute trades were the sine qua non of a bygone era.

Then came technology. The grey specks have seen the transformation unfold in banking, with private sector banks disrupting the space with net banking initially. And in the markets, the screams and paper shares were fast replaced by dematerialised, digital shares and digital trading. The 'progress' continued, with apps, wallets and what-have-you in the banking space, and even in stock market trading. The markets also saw discount broking firms offering a free execution platform from which one could invest in shares.

Today, both these spaces, and many more, are so digitally wired and intertwined that you can do practically anything, anywhere, anytime. Come to think of it, many young people today would probably not even know what the inside of a bank looks like.

Okay, that's a little over the top, but you get the point.

But there's a bigger point under the surface here, which is that the newbies, the so-called digital native companies, have raced ahead of others in most sectors, except in highly regulated ones such as banking, where the traditional players have armed themselves to the point of being 'almost' digital natives. From telecom to insurance to travel and tourism to entertainment and many others, dominant legacy players were forced to adapt as a new set of upstarts backed with technology and innovation entered the fray and disrupted their backyards.

And now, the bugle has been sounded in another segment. We're talking about mutual funds (MF), a tightly regulated and highly competitive segment with most aspects already commoditised in one way or another. Here, the legacy players, the incumbents, have already embraced technology and innovation in a big way. They are big and smart enough to quickly adapt to any large-scale change. At the same time, the newbies are not to be wished away or dismissed. They have enviable track records in other spaces, and are stepping into a new arena with confidence and wisdom that come from being winners. Let's take a look at the two corners and the combatants.

In one corner of the ring are The Oldies. These are more than 40 asset management companies (AMCs) with cumulative assets under management (AUM) of an eye-popping ₹40.5 lakh crore, according to the Association of Mutual Funds in India (AMFI), which is the umbrella body of all MFs registered with capital markets regulator Sebi (Securities and Exchange Board of India). Of that number, the 10 biggest AMCs—the Goliaths—corner 80 per cent share, or cumulative assets of ₹31.51 lakh crore. Each of the 11 largest fund houses boasts an AUM in excess of ₹1 lakh crore—with the top three having an AUM of more than ₹4 lakh crore each. So, they are big, they are experienced, they have deep pockets, and they are armed with the latest tech and apps and APIs and what have you. They have also been growing at a slick pace, on the back of increasing numbers of investors looking at MFs as the preferred mode of investing or entering the stock markets.

In the other corner are The Newbies. Important point: they may be Davids in MFs, but many of them are established players in other spheres such as broking, payments

THE NEW PLAYERS WILL HAVE TO CREATE A NICHE FOR THEMSELVES WITH DIFFERENTIATED PRODUCTS AS COST IS NOT THE BIGGEST FACTOR TO PLAY WITH IN THE MF SPACE, UNLIKE IN MANY OTHER SECTORS